

119TH CONGRESS — 2ND SESSION

A BILL

To amend Title 18 of the United States Code to prohibit institutional epistemic cloaking, criminalize deliberate failure to inquire by institutional supervisory actors, reform the mens rea standard for conscious avoidance, and for other purposes.

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

SECTION 1. SHORT TITLE.

This Act may be cited as the "**Corporate and Institutional Epistemic Accountability Act of 2026**".

SECTION 2. INSTITUTIONAL FAILURE TO INQUIRE AND DELIBERATE EPISTEMIC CLOAKING.

Part I of Title 18, United States Code, is amended by inserting after Chapter 47 the following new chapter:

"CHAPTER 47A—EPISTEMIC INTEGRITY AND INSTITUTIONAL ACCOUNTABILITY

"Sec.

"1041. Definitions.

"1042. Deliberate epistemic cloaking by institutional entities.

"1043. Criminal failure of supervisory inquiry.

"1044. Evidentiary rules and imputation of distributed collective knowledge.

"1045. Safe harbors, compliance defenses, and whistleblower preservation.

"1046. Penalties, corporate disqualification, and administrative forfeiture."

"§ 1041. DEFINITIONS

"(a) **In General.**—As used in this chapter—

"(1) **Covered Entity.**—The term 'covered entity' means—

"(A) any corporation, partnership, association, joint-stock company, trust, or unincorporated organization operating in or affecting interstate or foreign commerce;

"(B) any financial institution, issuer of securities, government contractor, or recipient of federal program funds exceeding \$1,000,000 annually; and

"(C) any department, agency, commission, or operational arm of the Executive Branch of the United States, including national security and intelligence elements.

"(2) **Responsible Institutional Officer.**—The term 'responsible institutional officer' means an individual who, by reason of position, office, or delegated supervisory mandate in an entity, possesses authority to exercise governance, direct operations, institute audits, or halt unlawful practices.

"(3) **Epistemic Cloaking.**—The term 'epistemic cloaking' means any intentional, knowing, or reckless design, alteration, or maintenance of an organizational hierarchy, communication filter, reporting channel, automated algorithmic system, or contractual buffer intended to:

"(A) prevent direct awareness, documentation, or verifiable record of unlawful acts from reaching supervisory officers or regulatory bodies; or

"(B) establish plausible deniability regarding underlying criminal, civil, or regulatory violations.

"(4) **Material Warning Indicator (Red Flag).**—The term 'material warning indicator' means any written audit exception, data anomaly, employee whistleblower report, algorithmic statistical outlier, compliance warning, subpoena, or third-party notice that would lead an objectively prudent governance official to conclude that a substantial probability of unlawful activity exists.

"(5) **Affirmative Duty of Inquiry.**—The term 'affirmative duty of inquiry' means the legal obligation of a responsible institutional officer or entity to initiate, execute, and document an independent, unencumbered factual investigation upon receipt of a material warning indicator."

"§ 1042. DELIBERATE EPISTEMIC CLOAKING BY INSTITUTIONAL ENTITIES

"(a) **Prohibited Conduct.**—It shall be unlawful for any covered entity, or any responsible institutional officer acting on its behalf, to knowingly organize, structure, mandate, or maintain an organizational process for the purpose of insulating leadership from knowledge of ongoing federal violations.

"(b) **Specific Acts of Cloaking.**—Acts constituting deliberate epistemic cloaking include:

"(1) **Channel Suppression:** Establishing unrecorded verbal-only reporting mandates, self-deleting message networks, or informal policy directives forbidding written memoranda concerning identified material risks or regulatory violations;

"(2) **Privilege Abuse:** Rerouting routine compliance, environmental, security, or product safety oversight through legal counsel solely to invoke attorney-client privilege or work-product doctrine and shield factual audits from regulators;

"(3) **Intermediary Shielding:** Utilizing third-party agents, subcontractors, or shell entities under commercial terms that incentivize unlawful performance while conditioning payments on the omission of operational audit data; and

"(4) **Classification and Compartmentalization Abuse:** In the case of public departments and national security agencies, classifying or compartmentalizing information under Special Access Programs (SAPs) primarily to prevent statutory oversight or conceal violations of federal law or treaty obligations."

"§ 1043. CRIMINAL FAILURE OF SUPERVISORY INQUIRY

"(a) **Individual Offense.**—Whoever, being a responsible institutional officer of a covered entity—

"(1) receives, becomes aware of, or has directed to their attention a material warning indicator demonstrating a substantial probability that an employee, agent, subsidiary, or operational element is engaging in a predicate federal offense; and

"(2) deliberately refrains from initiating an affirmative, documented inquiry, or takes affirmative steps to delay, curtail, or derail such inquiry with the intent to maintain plausible deniability;

shall be fined under this title, imprisoned for not more than 10 years, or both."

"(b) **Institutional Liability (Failure to Prevent).**—A covered entity is guilty of an institutional offense if:

"(1) an associated person, employee, or agent commits a predicate federal felony; and

"(2) the covered entity failed to institute and enforce reasonable epistemic escalation pathways that would have brought the underlying acts to timely executive notice and remedial intervention."

"§ 1044. EVIDENTIARY RULES AND IMPUTATION OF DISTRIBUTED KNOWLEDGE

"(a) **Reform of the Willful Blindness Standard.**—Notwithstanding the decision in *Global-Tech Appliances, Inc. v. SEB S.A.*, in any prosecution under this title:

"(1) Subjective belief of certainty is not required; it shall suffice that the defendant subjectively suspected a high probability of illegal acts and consciously took actions (or failed to execute non-delegable supervisory duties) to avoid positive confirmation.

"(2) Deliberate failure to inquire after receipt of a documented red flag shall constitute prima facie evidence of conscious avoidance."

"(b) **Aggregation of Distributed Collective Knowledge.**—In determining the knowledge and mens rea of a covered entity, the knowledge of two or more officers, employees, or operational agents acting within the scope of their employment may be aggregated. An entity shall not escape liability on the ground that no single individual possessed the entirety of the operational facts, where such compartmentalization was created or permitted by organizational design."

"§ 1045. SAFE HARBORS AND COMPLIANCE DEFENSES

"(a) **Affirmative Defense.**—It shall be an affirmative defense to prosecution under § 1043(b) if the covered entity proves by a preponderance of the evidence that, before the commission of the predicate offense, it had implemented:

"(1) an autonomous, well-funded compliance and audit structure with unrestricted direct access to the board of directors or congressional oversight committee;

"(2) mandatory electronic escalation logs that automatically record and route material warning indicators; and

"(3) robust, non-retaliatory whistleblower intake mechanisms protected from managerial interception."

"§ 1046. PENALTIES, DISQUALIFICATION, AND ADMINISTRATIVE FORFEITURE

"(a) **Corporate Fines.**—Any covered entity convicted under § 1042 or § 1043(b) shall be fined not more than the greater of \$50,000,000, or three times the gross pecuniary gain derived from the offense, or three times the gross loss caused to third parties.

"(b) **Executive Disqualification.**—Any individual convicted under § 1043(a) shall be permanently barred from serving as an officer or director of any public issuer of securities, financial institution, or government-contracted entity.

"(c) **Sovereign / Public Official Sanctions.**—Any public officer or agency director convicted of epistemic cloaking under § 1042(b)(4) shall be immediately removed from office, permanently stripped of national security clearance, and disqualified from holding any office of honor, trust, or profit under the United States."